How to balance China and reassure neighbours

At the structural level, after the end of the Cold War, India and China have increasingly diverged in terms of economic and military capabilities. While India's absolute power may have increased, it has decreased in relative terms compared to China. The scholar Shi Lancha, from Tsinghua University, thus recently called on India to "acknowledge this asymmetry in a hard-headed pragmatism, rather than obsessing with the false parity."[3] Even though the two countries' economies were of approximately the same size in 1990, China's economy today is around five times larger than India's. China's state-driven growth model has also given the country a tremendous advantage in financial assets to fund its footprint abroad, such as the Belt and Road Initiative (BRI). As a long-term project to deepen China's strategic connectivity across Asia and Europe, the initiative's large budget draws from Beijing's formidable stash in foreign reserves – the world's largest and ten times larger than India's.[4]

The rising India–China asymmetry has also affected the balance of power in South Asia, Delhi's traditional sphere of influence. In recent years, China has established itself as a resident power in the region and thus reduced and contested Indian predominance. At US$55 billion, China's total trade with South Asian countries (including Pakistan) is now twice as large as India's. Defying the geo-economic gravity model, most of India's neighbours now import more from China than from India.[5] Under the BRI, China also established itself as a leading partner for South Asian countries' developmental and infrastructure projects. In Bangladesh, for example, China's recent offer of US$25 billion in loans and grants outmatched India's assistance by